



accommodation. The 1,700 hotels in the country have about 96,000 rooms, but only about 30 per cent of them cater to the medium market segment. India needs another 1,50,000 rooms in the next three years to sustain tourism growth and penetrate large volume markets like China. High land prices, antiquated land laws and absence of single-window clearance have hamstrung the hotel sector.

The economic downturn and the terror attack in Mumbai have adversely impacted tourism. I have no doubt that the tourism industry will be resilient and bounce back as it did post-September 2001. The present crisis also presents an opportunity. Till the mid-1990s, no one had heard of Kerala as a tourism destination. Its emergence in great measure was due to traffic diversion from terror-affected Jammu and Kashmir. Kerala was ready for this—it had developed new products like the backwaters and ayurveda; its entrepreneurs had created bou-



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tique resorts; and quality infrastructure had been created. Other states need to emerge as tourism destinations by enhancing the quality of experience and creating sub-brands.

Domestic tourism can help balance both the present adversity and the seasonality of inbound tourism. The strategy necessitates creating awareness among the rising Indian middle class about new experiences (chasing the monsoon), new attractions (plantation holidays), new adventure (exploring the Indian Himalayas) as well as pilgrim circuits, heritage and monuments.

Though the BRIC countries (Brazil, Russia, India and China) account for half the world's population only 5 per cent of their population has travelled abroad compared to almost 50 per cent in the developed countries. With their basic needs getting fulfilled, people in India and China have started travelling—discovering new destinations, exploring new tourism products, in-

dulging in shopping and trying out unexplored cuisines. A recent report by "Visit Britain" highlights the fact that Indian tourists outspend Americans in Britain.

There is an increasing trend of young entrepreneurs driven by dynamism, breaking away from the five-star deluxe world of tourism. The retiring baby boomers in the US and Europe comprising the affluent older consumers are setting new trends of short breaks—multiple short holidays in a year, seeking authenticity of experiences. This will fuel an increase in demand for cultural tourism as their desire will be to experience different cultures, meet different communities and explore historical sites. This trend will provide an impetus for countries like India with a rich component of history and culture.

A key driver of change in travel and tourism will be technology. The Internet has already had a phenomenal impact on the way people travel. Hand-held devices and the use of digital technology will enable travellers to book and travel without intermediaries. Technology has already reduced costs, enabled faster travel and led to the successful emergence of low-cost carriers.

To drive growth in the sector we need to push five critical C's—Civic governance (improving the

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quality of tourism infrastructure), Capacity building (taxi drivers, guide and immigration staff), Communication strategy (constant innovation of the Incredible India campaign and penetration in new markets), Convergence of tourism with other sectors of the Indian economy and Civil aviation (better airport infrastructure, rationalisation of taxes and continued opening up of skies).

In the context of India, the vast potential of tourism as an employment creator and wealth distributor still remains untapped. The size of tourism industry worldwide is \$4.6 trillion whereas the software industry globally is a mere \$500 billion. The tourism industry globally generates over 250 million jobs whereas the software industry generates only 20 million jobs. As India grows and expands its base in travel and tourism, it will generate many more jobs and the sector will become a major catalyst for India's growth with social equity.

\$6-50 bn
could be added to India's revenues as well as 10-48 million jobs by 2020 through inbound traffic for medical, educational and leisure tourism.



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